

Multiple Choice (10 marks)

1. For the 3 payments of \$1000 each end-of-year, with 7% rate of return, what is the present value if the first payment is made at the end of fifth year?
 - (a) 1800.0000
 - (b) 2500.0000
 - (c) 2200.5678
 - (d) 2300.4567
 - (e) 2600.8910
2. Mr. Josephson put \$200 in a savings account which receives 4% interest compounded semiannually. Find the present value of his account after 2 years.
 - (a) \$212.36
 - (b) \$220.50
 - (c) \$210.00
 - (d) \$222.22
 - (e) \$216.49
3. George sells vacuum cleaners for \$75 each. He receives a 30% commission on each cleaner. Last week he sold 13 machines. What were his total earnings?
 - (a) \$325.50
 - (b) \$650
 - (c) \$585
 - (d) \$405
 - (e) \$975
4. What does situational theory of leadership emphasise?
 - (a) Individual skills
 - (b) Cultural influences
 - (c) Economic conditions
 - (d) Political situation
 - (e) Personality traits
5. Providing free samples of perfumes (scent) in magazines is an example of which of the following?

- (a) Operant conditioning.
- (b) Social learning.
- (c) Insight learning.
- (d) Observational learning.
- (e) Cognitive learning.

True / False (10 marks)

Answer True or False

6. True or False: The rate of return on the investment in the new machine is approximately 8.0516% based on the annual savings and initial cost.
7. True or False: The book value per share for ABC Corporation is \$50, which is derived from total assets minus total liabilities divided by shares outstanding.
8. True or False: Egoism and Ethics of rights and justice are both examples of consequentialist theories based on universal principles of right and wrong.
9. True or False: The annual percentage rate for an invoice of \$10,000 marked (6/10), (n/30) is 24.49%.
10. True or False: Mr. Scaccioborrows will pay only \$100 in total to his credit union for the loan, ignoring accrued interest.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the factors that influence the theoretical forward price of gold, including current market prices, storage costs, and interest rates. Calculate the forward price for delivery in 9 months.
12. Analyze the pricing strategy applied to a Speedway Racing Set initially priced at \$84, which undergoes successive discounts of 20% and 10%. Calculate the net price and discuss the implications of such discounting on consumer behavior and business revenue.

End of Paper